ZERODHA

The Discount Brokerage

Product Improvement

By – Tanmoy Pal

My favorite product ?

ZERODHA

Streak™

Why?

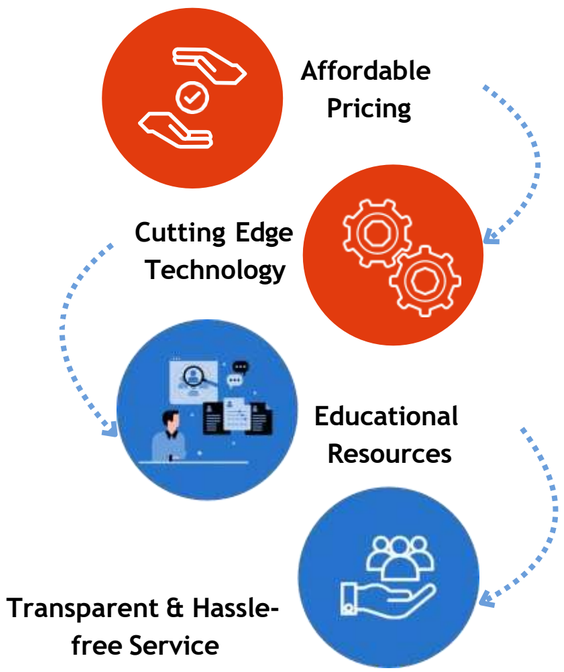
Low Costs: Zerodha is known for its low brokerage fees and zero charges on equity delivery, making it very cost-effective for traders and investors. These products helped me start investing and have been instrumental in democratizing investments in India.

Advance trading and Investment Strategy: Basic features for equity and mutual funds, ensuring a balanced portfolio. There are some advance features like API integration for algo-trading and Streak for semi algo-trading with UI

Innovative Tools: The platform offers a range of innovative tools and features like Kite, Coin, and Console, which provide an enhanced trading experience.
The zerodha also offers the free access to the varsity for investment education and pulse for current news.

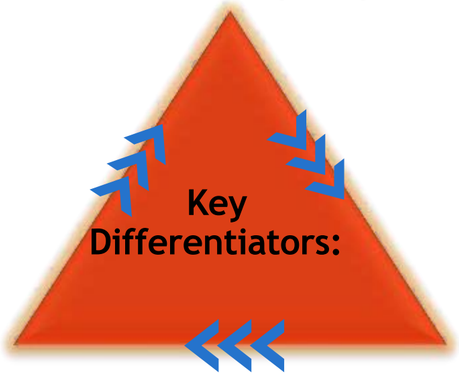
Ease of Use: With a user-friendly interface and efficient customer service, Zerodha makes trading and investing accessible even for beginners. The intuitive UI and seamless experience transformed the investment journey, making it accessible and easy for new investors.

About: Zerodha is one of the largest discount brokerage firm in india . Zerodha's flagship product Kite offers zero brokerage investments in stocks ,bonds ,ETFs , IPOs, government bonds ,and gold bonds. It founded in 2010 by Nitin Kamath with the goal in mind to break all barriers that traders and investors face in India in terms of cost, support, and technology. This goal to remove barriers and democratize finance is is expressed through its name itself Zerodha, a combination of *Zero* and "*Rodha*", the Sanskrit word for barrier.



Value Proposition

People
Cracked the needs of users to trade seamlessly without obstacles and without brokerage charges



Technology
Efficient trading platforms with advanced tools to cater to different investing needs of the customers

Process
Transparent pricing, hassle free services and user friendly platforms

Business Model

Revenue Model

Bokerage fees: The company charges a flat fee for intraday and derivative trades, while equity delivery trades are offered at zero brokerage. Even with set fees by sheer number of transactions they are able to earn revenue.
Account opening and maintenance fees: Zerodha charges a one-time account opening fee and an annual maintenance fee for its Demat and trading a.

Key Differentiators:

Cost of Acquisition is 0- Zerodha doesn't have sales & revenue targets. Believe in organic growth and best interests of customers..
Innovating with the World- Zerodha with its Rain Matter fund &incubator invests in start-ups which will increase their reach in the fintech trading supply chain.

Product Portfolio Snapshot

The Zerodha Universe

Coin

Platform that offers chance to invest directly in mutual funds i.e. commission free

Varsity

Collection of stock market lessons for beginers.

Console

It's the central dashboard of your account. Offers insights with reports and visualisations

Kite and Kite connect

Flagship trading platform with advanced charts, live market data, user-friendly UI and its API service

Actors/Key Partnerships

Investors
Retail and HNI investors that use the platform for trading directly in equities or mutual funds.

Regulatory Bodies
Compliance with rules and regulations of SEBI and stock exchanges.

ZERODHA

Payment Gateways
Enables easier fund transfers for its customers

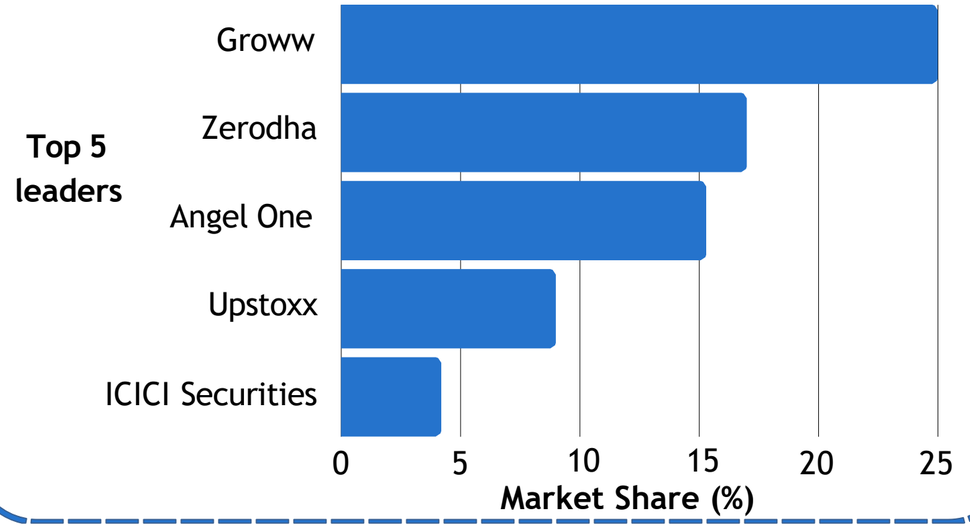
Clearing Corporations
Such as CDSL and NSCCL to facilitate trade settlement and demat services

Competitors

Groww	AngelOne	upstox
1,09,22,660	67,08,617	26,62,327

Active Clients

Competitive Landscape



ZERODHA WITH NUMBERS

20%
Country's total trading customers

Ratings
3.75/5
(348K ratings)

Complaint Resolution Rate
99.82%

Bounce Rate
46%

17%
FY 23
Market Share

Active Clients
76,62,920
(June 2024, NSE)

Net Profit (FY23)
2,907 Cr

Revenue (FY23)
6,875 Cr

Sources: Zerodha, Play Store, App Store, NSE, Semrush

Source: NSE (last updated 30 June 2024)

Before & After -Zerodha

BEFORE

High Brokerage Fees: Traditional brokerage firms charged high fees, making trading and investing less accessible to the average person.

Complexity: Investing was seen as complex and intimidating, deterring many potential investors.

Limited Transparency: There was a lack of transparency in fees and charges, leading to confusion among investors.

Low Retail Participation: Only a small percentage of the Indian population was involved in the stock market, with many people hesitant to invest.

Fragmented Portfolio Management: Managing multiple investment accounts was cumbersome and inefficient

AFTER

Low Brokerage Fees: Zerodha introduced zero brokerage on equity delivery and low costs on other transactions, making trading more affordable.

Simplified Investing: Platforms like Kite and Coin simplified the investment process, making it easier for beginners to start investing.

Increased Transparency: Zerodha's transparent fee structure ensured that users knew exactly what they were paying for.

Higher Retail Participation: The number of retail investors has increased significantly, with Zerodha leading the market with a large share of active Indian clients.

Integrated Portfolio Management: Features like Family Portfolio View allowed users to consolidate and track family investments in one place.

Value chain

Complexity in Investing: **Coin** simplifies mutual fund investments by allowing users to invest directly without any commission, making it easier for beginners to start investing.

Lack of Financial Knowledge: **Varsity** offers comprehensive educational resources and modules on trading and investment, empowering users with the knowledge to make informed decisions.

High Brokerage Fees: **Kite** provides an efficient trading platform with zero brokerage on equity delivery and low costs on other transactions, making trading more affordable for users.

News and Market Insights: **Pulse** aggregates financial news and market insights from various sources, providing users with timely and relevant information to make better trading and investment decisions.

Streak™

Strategy Development and Testing: **Streak** allows users to create, backtest, and deploy trading strategies based on historical data, optimizing their trading performance.

SENSIBULL

Options Trading Challenges: **Sensibull** provides detailed options trading data, including strategies and insights, helping traders make informed choices and manage risks effectively.

Investing mindset -In 2010, only 1.4% of India's population traded in capital markets.Massive Growth in Retail Investors: Zerodha's affordable, user-friendly platforms helped grow the number of investors from 20 million in 2012 to 70 million by 2021

Source: Forbes India,zerodha,NSE

Clarifying questions

What kind of improvement are we focusing on?

We are looking at improving investment strategy and wealth management

Are we targeting all user segments or focusing o one specific group?
Priorities one segment and move forward with it

What key goals or metrics are we trying to impact?
The Key Goal is to increase engagement

Is this improvement meant for global users or a specific region?
This improvement is meant for users in India

Are there any budget or resource constraints we need to consider?
No and regulatory compliances will be taken care of

Which features in the Zerodha platform do you find most beneficial, and are there any enhancements you would suggest for these features?
I find the total cost calculation on buy side is very helpful to track the hidden charges need to personalize it with tax calculation

Are there any specific tools or functionalities that you feel are lacking in Kite, Coin, Varsity, Streak, Sensibull, or Pulse?
Yes, Single platform integration.

How satisfied are you with the current user interface and experience of Zerodha's platforms? What changes would you recommend to improve usability?
Yes , Interface is good but user journey is not good.as one need to navigate multiple places.

Do you encounter any technical issues or bugs while using Zerodha's platforms? If so, could you describe them and suggest potential solutions?
Yes ,Sometimes if there are high volume trades then app crashes and if user don’t close the trade then there is hefty penalty.

How effective do you find Zerodha's educational resources, such as Varsity? What additional topics or formats would you like to see covered?
Yes, very effective for a beginner

Are there any additional services or integrations you wish Zerodha would offer to better meet your trading and investment needs?
Yes , Integration with bank using APIs.

Are the users can calculate the profit and loss exactly?
No, exact tax calculation is not given .

User Segments

Retail Investors

These users are either new to investing or are small inverstors optimising savings

Active Traders

These users trade frequently in the stock market, often on a daily basis.

Long Term Investors

These investors hold stocks and mutual funds for long term wealth creation

Analyzing the Retail Investor

Goals	Needs	Frustrations
Wealth Accumulation	Ease of Use	Complex &
Financial Independence	Low transaction Cost	Overwhelming
Portfolio Diversification	Access to Information &	Loss Incurred
Learning &	Tools	High Brokerage or
Empowerment	Transparency & Trust	Hidden Fees
	Support & Guidance	Lack of Personalisation
	Personalisation and	Inadequate Support
	Recommendation	

Pain Points

Not able to track current trade when app is closed.	Users after taking the trade closes the app , if the stock go down he might have bought more shares or if the stock went up unexpectedly then he might have sell the stocks.
Users need to provide penalty for AMC	Fund is send back to bank as per RBI norms .Users If trading account balance is not maintained then the amc is not paid on time so this penalty is unecessary .
No option for doing SIP for a customized timeline	No scope to do SIP with customized timeline and time gap.
No feature for relevant news and events	While This is no option to get the events or any particular new abhout a stov
Not able to get priority customer support	Many times when the traffic is very high due to certain event,the app or site crashes,not able to close the trade.

Pain Points

No personalised Investment advisory	Users have varied investment goals, like wealth creation, buying a car, buying a house, annual vacation etc. To achieve these goals users have different risk appetites and savings they want to dedicate towards these goals. Therse goals are not sequential but parallel most often
Need for enhanced Analytics	Users need to analyse their investments and funds minutely to take important decisions like changing their investments, exit strategy etc.
Not able to calculate exact tax on both buy and sell side	Investments at the time of buy and sell we are not getting the total amount of tax will be applied.
Not able to do technical analysis of multiple stocks	While This is the platform where most of this user segments has started investment with but they need multiple layout of screen where their can visualise and strategise their technical analysis
Not knowing the consequence of trade with leverage	People , mostly the new ones trade with leverage and most of the times they loose money and to offset the loss they trade again ,loose again.

PAIN POINT PRIORITISATION

	Reach	Impact	Confidence	Effort	Score
Not able to track current trade when app is closed.	10	10	10	10	100
Users need to provide penalty for AMC	6	4	8	7	27.42
No option for doing SIP for a customized timeline	5	6	8	6	40
No feature for relevant news and events	10	10	10	8	125

PAIN POINT PRIORITISATION

	Reach	Impact	Confidence	Effort	Score
Not able to get priority customer support	19	10	10	10	100
Not able to calculate exact tax on both buy and sell side	5	6	8	6	40
No personalised Investment advisory	10	10	10	10	100
Need for enhanced Analytics	6	4	8	7	27.42
Not able to do technical analysis of multiple stocks	5	6	8	6	40
Not knowing the consequence of trade with leverage	10	10	10	8	125

PROBLEM

What is the Pain Point?

Not able to track the current trade when The app is closed.

No feature for relevant news and events.

FEATURE

Feature – Smart notification

User stories
Trade trend and percentage change as pop-up.

SOLUTION

How will it work?

Over the screen a pop-up will be provided to get the current trade status and the news related to the personalised portfolio.

IMPACT

Increase the customer satisfaction score .
Increase the customer engagement.

PROBLEM

What is the Pain point?

Not able to get priority customer support

FEATURE

Feature and user stories-
First will provide AI chat bot as the human resource for customer care is limited specially when the market is open. If the query is not resolved then human resource will be utilized.

SOLUTION

How will it work?

For instant customer care user will have chat or conversation with the rag based AI agent specially trained to solve wealth management related issues.

IMPACT

Increase user satisfaction and user retention

PROBLEM

What is the Pain-point?

There no single dashboard to track all the investments.

User need to navigate multiple screens and app to navigate.

FEATURE

Feature and user stories? Single landing page with all investment categories.
Feature and user stories
- Integration with the bank to get the data of FD ,NPS.

SOLUTION

How will it work?

One landing page holding the information of investments across the asset classes.

Facilitating an integration which when authorised can fetch all investments related the users PAN Card.

Additionally providing the users a way to input their additional investment which cannot be fetched via integrations like bank FDs, NPS and PFs.

IMPACT

The users are more interested in knowing how their portfolio performed more than how the index performed or the performance of their watchlist.
This feature will increase the user satisfaction score and user engagement

PROBLEM

What is the Pain point?

No personalised Investment advisory

FEATURE

AI powered assessment form which captures all the goals of the user, monthly investment commitment, risk appetite, current portfolio.

SOLUTION

How will it work?

Using the investment principles and analyzing the data given by the user the system will suggest

- a division of investment in different asset classes,
- divide the fixed money commitment into the buckets and recommend what parameters to judge the asset on when choosing them to invest in

IMPACT

Increase the customer satisfaction score

PROBLEM

What is the pain-point?

No option for doing SIP for a customized timeline.

Users need to provide penalty for AMC if there is no money in trading account

.

FEATURE

Bank and NBFC partnership and automation of payment from the accounts.

SOLUTION

How will it work?

Users set the timeline and the detail of the payment and the payment will be made to the trading account on time

IMPACT

Increase the customer engagement and retention.

.

PROBLEM

What is the pain-point?

Searching a stock or gold bond is difficult as they appear on the search button

.

FEATURE

NSE or BSE switched button , category based filter prompt

SOLUTION

How will it work?

Users select the NSE or BSE , select the text prompt as category so that they can find their desired stock.

IMPACT

Increase the customer engagement and retention.

.

USER STORY BOARD

Personalized news and events related to the stocks holdings

On priority

Multiple layout for technical analysis

Addition of multiple Indexes to watch

Smart notification – as pop up

On priority

NSE or BSE switch button , category based search

Historical data and option chain addition along with the charts.

On priority

AI agent RAG based chat bot for resolving customer quries

Integration with bank and NBFC

Common platform for all the investment

Tradeoffs & Pitfall

	Trade-off	Pitfall
Insights & Analytics	Minimal Design	User getting confused about which is the best investment opportunity
Enhanced Watchlist Features	Minimal Design	Users are only tracking watchlist and not being able to invest
Personalised Investment Advisory	Time & Cost	Over Engineering
All investment tracking portal	Time & Cost	Compliance

Success Metrics

	Metric	Frequency
Smart notification click rate	Engagement- active trades 7 page visits	weekly
Insights & Analytics	Engagement - CTR and page visits	Monthly
Enhanced Watchlist Features	Watchlisting and related positive conversions	Monthly
Personalised Investment Advisory	Recommendation to investment conversion	Quarterly
All investment tracking portal	Linking all investments & Syncing	Monthly

THANK YOU

-Tanmoy Pal